

BEFORE THE
FEDERAL MARITIME COMMISSION

Docket No. 16-15

WORLD IMPORTS, LTD., WORLD IMPORTS CHICAGO, LLC, and
WORLD IMPORTS SOUTH, LLC,

COMPLAINANT,

v.

OEC GROUP NEW YORK,

RESPONDENT.

**NOTICE OF BANKRUPTCY COURT ORDER APPROVING SETTLEMENT
AGREEMENT**

World Imports Ltd, World Imports Chicago, LLC and World Imports South LLC (“World Imports”) and OEC Group New York (“OEC”) hereby provide notice that the United States Bankruptcy Court for the Eastern District of Pennsylvania has entered a settlement agreement in Adversary Proceeding No. 13-00402-sr between OEC and World Imports. The Order approving the Settlement and the Settlement Agreement are attached hereto as Exhibits A and B.

Pursuant to 46 CFR 502.72 (a)(2), parties may dismiss an action without an order from the presiding officer by filing a stipulation of dismissal signed by all parties who have appeared, representing that the settlement that was reached was not on the merits.¹ Consistent with the provisions of Rule 72, the parties jointly submit that the settlement did not reach the merits of the Complaint filed here but instead was reached in order to address Bankruptcy Code issues raised

¹ The parties would simply have submitted a stipulation of dismissal but for the Court's November 15, 2016 Order directing the parties to provide notice of the approval of the Bankruptcy Court Order approving the settlement.

in the adversary proceeding between the parties, which issues were subsequently addressed by the Third Circuit.

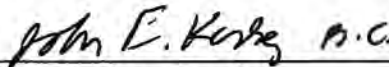
Whereby, the parties respectfully request that this action be dismissed.

Respectfully Submitted,



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OEC GROUP NEW YORK



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Attorneys for Complainant
*World Imports Ltd, World Imports Chicago, LLC
and World Imports South LLC*

DATE: January 6, 2017

CERTIFICATE OF SERVICE

I do hereby certify that I have delivered a true and correct copy of the foregoing document to the following addressees at the addresses stated by depositing same in the United States mail, first class postage prepaid, and/or via email transmission, this 6th day of January, 2017:

John E. Kaskey, Esquire
David L. Braverman, Esquire
Braverman Kaskey, P.C.
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Brendan Collins

EXHIBIT A

**IN THE UNITED STATES BANKRUPTCY COURT
FOR THE EASTERN DISTRICT OF PENNSYLVANIA**

In re:	:	CHAPTER 11
	:	
WORLD IMPORTS, LTD.	:	BANKRUPTCY NO. 13-15929 (SR)
	:	BANKRUPTCY NO. 13-15933 (SR)
Debtor.	:	BANKRUPTCY NO. 13-15935 (SR)
	:	(Jointly Administered)
WORLD IMPORTS, LTD.	:	
1100 Roosevelt Boulevard,	:	
Philadelphia, PA 19116	:	ADVERSARY NO. 13-00402-sr
	:	
WORLD IMPORTS CHICAGO, LLC	:	
1100 Roosevelt Boulevard,	:	
Philadelphia, PA 19116	:	
	:	
WORLD IMPORTS SOUTH, LLC	:	
1100 Roosevelt Boulevard,	:	
Philadelphia, PA 19116	:	
	:	
v.	:	
	:	
OEC GROUP NEW YORK	:	
One Cross Island Plaza	:	
133-33 Brookville Boulevard Suite 306,	:	
Rosedale , NY , 11422	:	
	:	
Defendant	:	

**ORDER GRANTING MOTION FOR APPROVAL OF SETTLEMENT
AGREEMENT WITH ADVERSARY PROCEEDING DEFENDANT PURSUANT TO
RULE 9019 OF THE FEDERAL RULES OF BANKRUPTCY PROCEDURE**

AND NOW, this 21st day of December, 2016, upon consideration of the Motion for Approval of Settlement Agreement with Adversary Proceeding Defendant Pursuant to Rule 9019 of the Federal Rules of Bankruptcy Procedure (the "Motion")¹, and it appearing that the Motion was properly and timely served with the accompanying Settlement Agreement; and it appearing that the relief requested in the Motion is in the best

¹ Capitalized terms used but not otherwise defined herein shall carry the same meanings as ascribed to them in the Motion or Settlement Agreement, as applicable.

interests of the Debtor's estate and creditors; and good cause having been shown, it is hereby:

ORDERED, that the Motion is granted; and it is further

ORDERED, that the Debtors, the Debtors' estates, and Defendant OEC Group New York, are hereby bound by the terms of the settlement as set forth in the Settlement Agreement, more particularly described in the Motion, which Settlement Agreement is hereby approved; and it is further

ORDERED, that the parties are authorized and directed to take all actions necessary to effectuate the terms of the settlement; and it is further

ORDERED, that this Court shall retain jurisdiction to resolve any disputes arising from any of the Settlement Agreement or this Order.

BY THE COURT:

A handwritten signature in black ink, appearing to read "Stephen Raslvaich", written in a cursive style.

HONORABLE STEPHEN RASLVAICH
UNITED STATES BANKRUPTCY JUDGE

EXHIBIT B

SETTLEMENT AGREEMENT

This Settlement Agreement (the "Agreement") is entered into this ____ day of November, 2016, by and between World Imports, Ltd., World Imports Chicago, LLC and World Imports South, LLC (collectively, the "Debtors") and OEC Group New York ("OEC"). The Debtors and OEC are hereinafter collectively referred to as the "Parties."

RECITALS

WHEREAS, on July 3, 2013, the Debtors filed voluntary petitions for relief under Chapter 11 of the Bankruptcy Code in the United States Bankruptcy Court for the Eastern District of Pennsylvania (the "Bankruptcy Court");

WHEREAS, on July 12, 2013, OEC filed a motion with the Bankruptcy Court for relief from the automatic stay, arguing that it was a secured creditor with a possessory "maritime" lien on Debtors' goods and that, as a secured creditor, it was entitled to refuse to release the goods it held in its possession unless and until its prepetition claims were satisfied;

WHEREAS, on July 18, 2013, the Debtors initiated an adversary proceeding against OEC in the Bankruptcy Court to compel turnover of the Debtor's goods in OEC's Possession (the "Turnover Proceeding"). On July 25, 2013, following a hearing, the bankruptcy court granted the Debtors' motion and ordered OEC to turn over the goods (the "Bankruptcy Court Order");

WHEREAS, on August 1, 2013 filed an appeal of the Bankruptcy Court Order with the United States District Court for the Eastern District of Pennsylvania (the "District Court");

WHEREAS, on January 22, 2015, the District Court entered an order (the "District Court Order") affirming the Bankruptcy Court Order;

WHEREAS, on February 20, 2015 OEC filed an appeal of the District Court Order with the United States Court of Appeals for the Third Circuit;

WHEREAS, on July 2, 2015, the Debtors commenced an adversary proceeding (the "Adversary Proceeding") in the Bankruptcy Court by filing a Complaint against OEC, entitled *World Imports, Ltd., et al. v. OEC GROUP NEW YORK*, Adv. Pro. No. 15-00256-SR pursuant to which Debtors sought recovery from Defendant for transfers made by the Debtors to the Defendant during the preference period and for allegedly constructively fraudulent transfers made by the Debtors to the Defendant;

WHEREAS, on April 20, 2016, the Third Circuit reversed the District Court Order and remanded the case to the District Court for further proceedings;

WHEREAS, on July 8, 2016, the Debtors filed a Complaint before the Federal Maritime Commission alleging Shipping Act Violations against OEC (FMC Docket No. 16-15);

WHEREAS, on August 18, 2016, the Debtors filed a Petition for a Writ of Certiorari (the "Certiorari Petition") with The Supreme Court of the United States (the "Supreme Court");

WHEREAS, on October 17, 2016, the Supreme Court denied the Certiorari Petition;

WHEREAS, OEC is a first lien, secured creditor of the Debtors, which claim is secured by all of the Debtors' remaining assets;

WHEREAS, to avoid further litigation and to minimize the costs and expenses in connection with the OEC's claims against the Debtors and the Debtors claims against OEC, and in an effort to maximize the recovery in the Debtors' Bankruptcy Cases, the Parties wish to resolve the disputes between them as set forth below.

NOW, THEREFORE, in consideration of the mutual agreements, covenants, representations and conditions set forth herein, and other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the parties hereto, intending to be legally bound, hereby agree as follows:

1. Agreement Subject to Court Approval. This Agreement is subject to approval of the Bankruptcy Court, which shall be sought in good faith by the Debtors and their counsel at no cost or expense to OEC. None of the provisions of this Agreement shall be effective until approved by the Bankruptcy Court.
2. Initial Payment to OEC. Within five (5) days after the date that the order of the Bankruptcy Court approving this Agreement becomes final and non-appealable (the "Effective Date"), the Debtors shall pay OEC, One Hundred Seventy Five Thousand Dollars (\$175,000.00) (the "Initial OEC Payment").
3. Division of Debtor's Remaining Assets with OEC. After the Debtors' payment of the Initial OEC Payment, all of the Debtors' remaining assets, including, but not limited to cash and litigation proceeds, net of Debtors' costs of collection, including reasonable attorney's fees, shall be divided between the Debtors and OEC as follows: (a) the first Two Hundred Fifty Thousand Dollars (\$250,000.00) shall be retained by the Debtor; (b) the next Twenty Five Thousand Dollars (\$25,000.00) shall be paid to OEC; and (c) all remaining assets shall be divided/paid equally between the Debtor and OEC.
4. Dismissal of Litigation. On the Effective Date, the parties shall jointly stipulate to dismissal of the Complaint, with prejudice, such dismissal not being a settlement of the Complaint on its merits. Further, the Debtors and OEC shall execute and file: (a) a joint stipulation dismissing of the Adversary Action, with prejudice; and (b) a joint stipulation dismissing of the Turnover Action, with prejudice.
5. Release of Debtors. On the Effective Date, OEC, on its own behalf and on behalf of its shareholders, partners, agents, representatives, employees, attorneys, successors, heirs, executors, administrators, principals, assigns, and insurers, hereby releases and forever

discharges the Debtors, and their direct and indirect affiliates, parents, subsidiaries, and shareholders, and their respective directors, officers, partners, owners, agents, representatives, employees, attorneys, successors, heirs, executors, administrators, principals, assigns, and insurers, from any and all claims (including those under Bankruptcy Code Section 502(h)), causes of action, suits, debts, claims, liens, obligations, liabilities, accounts, damages, defenses, sums of money, reckonings, bonds, bills, variances, covenants, contracts, controversies, agreements, promises, trespasses, judgments, executions, losses, costs, and expenses (including attorneys' fees), demands, in law or in equity, whether known or unknown, or hereafter becoming known, of any kind, character, or nature whatsoever, fixed or contingent, against any of the aforesaid released parties which OEC had, now has, or hereafter can, shall or may have for, upon or by reason of any matter, cause or thing whatsoever, from the beginning of the world through the Effective Date. Notwithstanding the releases contained in the preceding sentence, nothing contained herein shall release the Debtors from any of their obligations under this Agreement or be deemed to constitute a waiver of OEC's liens on the Debtor's assets.

6. Release of OEC. On the Effective Date, the Debtors, and on behalf of their respective shareholders, partners, agents, representatives, employees, attorneys, successors, heirs, executors, administrators, principals, assigns, and insurers, release and discharge OEC, the Defendant from any and all claims (including but not limited to the claims asserted in the Adversary Proceeding), causes of action, suits, debts, claims, liens, obligations, liabilities, accounts, damages, defenses, sums of money, reckonings, bonds, bills, variances, covenants, contracts, controversies, agreements, promises, trespasses, judgments, executions, losses, costs, and expenses (including attorneys' fees), demands, in law or in equity, whether known or unknown, or hereafter becoming known, of any kind, character, or nature whatsoever, fixed or

contingent, against any of the aforesaid released parties which Debtor Parties had, now has, or hereafter can, shall or may have for, upon or by reason of any matter, cause or thing whatsoever, from the beginning of the world through the Effective Date. Notwithstanding the releases contained in the preceding sentence, nothing contained herein shall release OEC from any of its obligations under this Agreement.

7. Representations and Warranties.

(a) OEC represents and warrants to the Debtors as follows:

- (1) that it has not sold, assigned, transferred or otherwise disposed of any of the claims that it possesses against any of the Debtors;
- (2) that it has the full right, power, legal capacity and authority to enter into this Agreement and to consummate the transactions described in this Agreement; and
- (3) this Agreement has been duly and validly executed and delivered by it and constitutes a legal, valid and binding obligation, enforceable against OEC in accordance with its terms.

(b) Each of the Debtors represents and warrants to OEC as follows:

- (1) that they have not sold, assigned, transferred or otherwise disposed of any of the claims that they possesses against OEC;
- (2) that they have the full right, power, legal capacity and authority to enter into this Agreement and to consummate the transactions described in this Agreement; and

- (3) this Agreement has been duly and validly executed and delivered by them and constitutes a legal, valid and binding obligation, enforceable against the Debtors in accordance with its terms.

8. Covenants.

(a) OEC, on behalf of its self and its agents, attorneys, shareholders, officers, directors, employees, heirs, executors, administrators, personal representatives, successors and assigns, covenants to the Debtors as follows:

- (1) that it shall not take or suffer or permit any action and/or omit to take any action, which would render untrue, in any material respect, any of its representations or warranties contained in this Agreement; and
- (2) that upon the Debtors' payment to OEC of all amounts payable under Sections 2 and 3 of this Agreement, no further amounts shall be owed to OEC and OEC shall have no interest in the amounts retained by the Debtors pursuant to this Agreement.

(b) The Debtors severally and on behalf of their respective agents, attorneys, shareholders, officers, directors, employees, heirs, executors, administrators, personal representatives, successors and assigns, covenant to OEC, as follows:

- (1) that they will not sell, assign, transfer or otherwise dispose of any of the claims covered by the Release contained in Section 6;
- (2) that they shall not take or suffer or permit any action and/or omit to take any action, which would render untrue, in any material respect, any of its representations or warranties contained in this Agreement; and

- (3) The Debtors shall notify OEC within five (5) days of the date the Debtors collect any funds and shall provide monthly reports to the OEC of funds in the Debtors' estate.

9. Counsel/Voluntary Waiver. Each of the Parties acknowledge they have been represented by counsel of their own choosing, that they have read and understand this Agreement, and that they have entered into this Agreement intelligently, knowingly and voluntarily.

10. Choice of Law. This Agreement has been executed and delivered in, and shall be interpreted, construed and governed by and under, the laws of the Commonwealth of Pennsylvania, without reference to its conflict of law principles.

11. No Admission. This Agreement is made in full and complete compromise of disputed claims asserted in the Lawsuit and is not and shall not to be construed as an admission of liability, negligence, culpability, or any violation of any federal, state or local statute or regulation, or of any duty owed, contractual or otherwise, or any other legal conclusion by the Parties.

12. Entire Agreement. This Agreement constitutes the entire understanding and agreement by and between the Parties regarding its subject matter and the transactions contemplated hereby, superseding all prior writings, discussions and understandings between the Parties with respect thereto.

13. No Modification. This Agreement may be modified or amended only by a written agreement entered into by all of the Parties to this Agreement, and may be waived only by a written waiver signed by the Party to be charged thereby. No waiver, modification or amendment shall extend to or affect any obligation not expressly waived, modified or amended, or impair

any right of parties related to such obligation. Any Party claiming a waiver of this paragraph shall have to prove any such waiver by clear and convincing evidence.

14. Binding Effect. This Agreement shall be binding upon and inure to the benefit of the Parties and their respective heirs, successors and assigns.

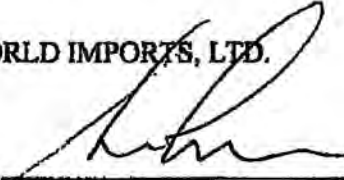
15. Construction. Each of the Parties acknowledge and agree that (i) this Agreement has been freely negotiated by the Parties; (ii) in any controversy, dispute or contest over the meaning, interpretation, validity, or enforcement of this Agreement, or any of its terms and conditions, there shall be no inference, presumption or condition drawn whatsoever against any Party by virtue of that Party having drafted or participated in the drafting of this Agreement or any portion thereof; and (iii) they knowingly, intelligently and voluntarily waive the benefit of any law, court decision, or rule of contract construction that would permit a court to construe any perceived ambiguity in this Agreement against the drafter of this Agreement.

16. Headings. The headings to sections and subdivisions of this Agreement are for convenience of reference only and are not intended and shall not be construed to modify, define, limit or expand the intent of the parties as expressed in this Agreement.

17. Counterparts. This Agreement may be executed in duplicate counterparts. Each counterpart shall be deemed an original but all of the counterparts, when taken together, shall constitute but one and the same instrument. This Agreement shall become effective when all Parties have executed and delivered at least one such counterpart to all of the other parties. Transmission of a signature by facsimile or electronically in portable document format shall be considered an original for purposes of this Agreement.

IN WITNESS WHEREOF, the Debtors and the OEC have caused this Agreement to be duly executed as of the date first written above.

WORLD IMPORTS, LTD.

By: 

Name: STAN LUBIN

Title: CHAIRMAN

WORLD IMPORTS CHICAGO, LLC

By: 

Name: STAN LUBIN

Title: MEMBER

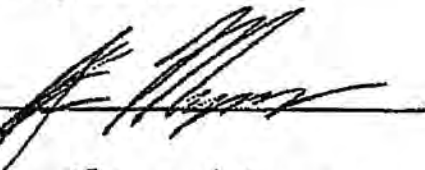
WORLD IMPORTS SOUTH, LLC

By: 

Name: STAN LUBIN

Title: MEMBER

OEC Group New York

By: 

Name: Steve Myers

Title: Regional VP Ops + CS